

Simon Property Group credit review

Financial analysis case study | Updated October 6, 2026 | USD millions unless stated otherwise

Credit view. The financial record supports continued analysis of Simon as a large operating REIT. The key diligence question is whether recurring income and available funding can support debt service and upcoming refinancing. A facility decision would also need the proposed terms, covenant definitions and a complete cash-flow and maturity bridge.

Reported indicator	Result	Credit interpretation
FY 2025 revenue	\$6,364.5m; +6.7%	Revenue growth is useful operating context, but is not debt-service cash flow.
FY 2025 Real Estate FFO	\$4,812m; +4.7%	Recurring real estate performance grew much less than common net income.
FY 2025 common net income	\$4,624m; +95.3%	A \$2.89bn fourth-quarter non-cash gain complicates interpretation. Do not treat the income increase as equivalent cash growth.
June 2026 our-share debt	\$35,731.0m	Debt after issuance adjustments; includes proportionate joint-venture exposure.
Variable-rate share after derivatives	\$1,856.0m; 5.2%	Immediate rate sensitivity is concentrated here. Fixed-rate debt can reprice when refinanced.
Liquidity / remaining 2026 principal	\$9.3bn / \$4.384bn	Liquidity includes \$7.6bn of available revolving capacity; it is not cash alone.

Rate and refinancing stress

A 200-basis-point increase adds **\$37.1m** of annual interest on reported variable-rate debt. A separate, illustrative **\$2.0bn** fixed-debt refinancing subset adds **\$40.0m**, producing a combined **\$77.1m** annual run-rate increase. The fixed subset is an analyst assumption, not a reported loan maturity allocation.

Analyst proxy	Base	+200 bps	+200 bps / NOI -10%
Annualized combined NOI	\$6,694.9m	\$6,694.9m	\$6,025.4m
Annual interest proxy	\$1,479.0m	\$1,556.2m	\$1,556.2m
Combined NOI / interest	4.53x	4.30x	3.87x

The proxy uses end-period weighted rates and twice first-half combined NOI. It is not LTM cash flow, DSCR or an indenture covenant. Reported fixed-charge coverage is 4.7x under the company's own definition; this workbook does not reconstruct that definition.

Sources: [FY 2024 release](#); [FY 2025 release](#); [Q2 2026 release](#); [Q2 supplement](#), pp. 13, 16, 27-28

The same property, different risks

Illustrative extension | Not a Simon property, appraisal or Macquarie underwriting policy

The case starts with a \$100m property, \$6m annual NOI, \$60m of interest-only senior debt, \$10m of cash-pay junior debt and \$30m of common equity. The downside lowers NOI by 20%, raises the capitalization rate by 150 bps and raises the senior interest rate by 200 bps.

Input or output	Base	Downside
NOI / capitalization rate	\$6.0m / 6.0%	\$4.8m / 7.5%
Capitalized property value	\$100.0m	\$64.0m
Senior principal / interest rate	\$60.0m / 7.0%	\$60.0m / 9.0%
Senior annual debt service	\$4.2m	\$5.4m
Senior DSCR	1.43x	0.89x
Senior LTV / debt yield	60.0% / 10.0%	93.8% / 8.0%
Residual NOI after debt interest	\$0.8m	(\$1.6m)
Maximum replacement senior loan	\$65.0m	\$41.6m
Senior refinancing shortfall	\$0.0m	\$18.4m
Stylized junior principal recovery	100%	40%
Stylized common equity recovery	\$30.0m	\$0.0m

What the model leads you to conclude

The downside produces two separate problems: income does not cover senior interest, and refinancing capacity falls below the existing senior principal. Even where an assumed sale value could repay senior principal, interim cash shortfalls and the refinancing gap still matter. Junior debt and common equity absorb different losses from the same underlying property.

Binding constraint: a 65% maximum refinancing LTV allows \$41.6m of debt. The 1.25x minimum DSCR allows \$42.7m and a 9% minimum debt yield allows \$53.3m. LTV therefore limits replacement senior financing. These thresholds were selected for this exercise; they are not Macquarie requirements.

Credit conclusion: the modeled downside is too exposed to refinancing and cash support to justify proceeding without lower leverage or a credible equity funding plan. Underwrite the source of that support rather than assuming it will be available.

Scope: value is NOI divided by the cap rate. DSCR is NOI divided by annual debt service; debt yield is NOI divided by loan principal; LTV is debt divided by value. Recovery assumes senior then junior principal priority and excludes costs, taxes, accrued interest and enforcement delays. The residual-cash return is not IRR. Preferred equity and legal mezzanine structures are not separately modeled.

Sources: [OCC CRE Lending handbook](#), [metric definitions](#); [OCC refinancing-risk guidance](#). Scenario figures are analyst-created inputs and workbook outputs.